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THE STRATEGIST Satheesan with supporters in Thiruvananthapuram

FIVE KEY CHALLENGES

1. **Fiscal prudence will be key for the Satheesan government. Balancing Kerala's high debt with party's poll promises won't be easy**
2. **Managing internal dissent in the local Congress**
3. **The Congress-led UDF depends on partners like IUML, RSP and Kerala Congress. Keeping the coalition together is important**
4. **Kerala sees large-scale migration for employment. Bringing in investment to create employment will be one of Satheesan's goals**
5. **The services sector and the tourism sector—two of Kerala's largest revenue earners—need a policy push; money must also be arranged to complete pending infrastructure projects**

FIXING THE FINANCES

The new government faces multiple challenges in managing the finances, with a drained exchequer. Kerala's debt-to-Gross State Domestic Product (GSDP) ratio is around 24.8 per cent. The revenue deficit is at 2.49 per cent of the GSDP, estimated at Rs 14.3 lakh crore. There are three reasons for the steady increase of the revenue deficit over the years—reduced central allocation, inability of the state to raise more domestic revenue other than the liquor and lottery tax, and some 70 per cent of state revenue being earmarked for salaries, pensions and social security welfare sops. As of today, Kerala's debt amounts to some Rs 4.8 lakh crore.

Other than pending bills, the new government has to find money for its poll promises, which included, among other things, free travel for women in public transport, Rs 1,000 monthly dole to girl students doing graduate and PG courses, and Rs 25 lakh medical insurance for every family.

The Centre has approved a borrowing limit of Rs 23,000 crore till December this year, but it will come as little relief for the new government. Any leeway in the fiscal realm will also depend on how well Satheesan manages the state's relationship with the BJP-led Centre. This is also critical for the many ongoing infrastructure projects, since Kerala will be dependent on the Narendra Modi government for funds. Incidentally, monies will also have to be allocated for the pending bills and repayment of the Kerala Infrastructure Investment Fund Board (KIIFB) loans, which currently amount to around Rs 3,300 crore annually.

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The new CM will also do well to avoid the pitfalls that led to the demise of the Pinarayi government. Despite enlarging social security pensions and providing some 500,000 free homes for the poor, instances of political corruption and mismanagement of public funds did the LDF in. As retired technocrat Shajen Raphael explained to INDIA TODAY, political parties need to understand the emerging dynamics in Kerala. It's not the free sops that will win them elections, but their vision for a future Kerala and clean and transparent governance. "After a decade in power, the Left leaders forgot the basic ethics of talking and communicating to the people," he says.

In effect, it will not be smooth sailing for the Satheesan government. The government will have to find new revenue resources and also money for existing welfare schemes. As one senior retired bureaucrat put it, "The Congress announced sops for voters without realising its impact on Kerala's revenues. They will soon find out that winning the election and governing the state hold very different challenges." It looks like Satheesan has his task cut out for the next five years. ■